



2.5 External Influences

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The effects on businesses of changing economic variables

- Economic influences can present significant **opportunities and threats** to business activities
- Businesses need to anticipate and respond to changing economic variables in order to maximise their chance of success
- The following economic variables need to be considered

Inflation

- Inflation is the **general rise in prices** in an economy over time
 - The **Consumer Price Index (CPI)** measures monthly changes in the prices of a range of goods and services and compares these changes to earlier periods, calculating the rate of inflation
 - In the UK government, monetary policy focuses on achieving a **2% inflation rate** and tasks the **Bank of England** with taking steps to maintain this (e.g. raising the interest rate)
- After several decades of relatively low levels of inflation, **the UK has recently experienced rapidly increasing levels**



Your notes

UK Inflation Rate At Lowest Point Since February 2022

CPI year-over-year inflation rates in the United Kingdom from Jul. 2013 to Jul. 2023*



* CPI=Consumer Price Index

Source: Office for National Statistics



statista

Rapid inflation is causing problems for businesses and households in the UK

- **High or fluctuating levels of inflation** can be problematic for businesses for several reasons

Problems caused by inflation

- **Increased costs**
 - Workers often demand **higher wages** to compensate for the increase in the cost of living
 - Suppliers increase the costs of **raw materials** and **components**
 - Utilities, such as electricity, become more expensive
- **Higher repayments on loans**
 - **Interest rates usually rise** as the Bank of England uses the **base rate** as a tool to control inflation, making new and **variable-rate** borrowing more expensive
- **Consumers change spending habits**



- Inflation **deters consumers from making significant purchases**, and they may reduce demand for their usual lower-priced wants too, e.g cinema tickets
- Purchasing on **credit** becomes more expensive
- **International competitiveness**
 - Where **domestic inflation rates are higher** than those in other countries:
 - UK businesses are less likely to be competitive and **lose sales**
 - **Imports from overseas competitors are likely to be cheaper than domestic goods**
- **Uncertainty**
 - This occurs when businesses **cannot predict prices** even in the short term
 - **Survival** may need to become the key business objective until stability returns
 - **Spending and contract decisions are likely to be delayed**

Exchange rates

- The exchange rate is the **value of one currency expressed in terms of another**
- Exchange rates are an important economic influence for businesses that **import** raw materials and components and for businesses that **export** their products
- Exchange rates **fluctuate** for a range of reasons, including:
 - Changing demand for a currency
 - Economic growth
 - Changes to **interest rates**

The impact on business of changes in currency values

Change to currency value	Impact on exporting businesses	Impact on importing businesses
An increase in the value of the £ against other currencies (appreciation)	▪ Sales are likely to fall as products become more expensive when compared to overseas competitors ▪ In order to remain competitive, exporting businesses may need to lower prices and accept lower profit margins	▪ Costs are likely to fall as supplies from overseas become cheaper compared to those domestically produced ▪ Businesses may seek to expand their pool of overseas suppliers to further reduce costs and maximise profits
A decrease in the value of the £	▪ Sales are likely to rise as products become	▪ Costs are likely to rise as supplies from overseas become more expensive

against other currencies (depreciation)	cheaper compared to overseas competitors Businesses may choose to increase selling prices to increase profit margins	compared to those domestically produced Businesses may seek domestic suppliers to reduce costs and maintain profit levels
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Your notes



Examiner Tips and Tricks

Many businesses are affected as **both importers of raw materials and components and as exporters of goods and services overseas.**

It would be unusual for UK-based exporters to wholeheartedly celebrate a weak pound or be entirely dismayed at a strong pound, as the global nature of business means that for many firms, both costs and revenues are affected by exchange rate movements.

For most businesses, **exchange rate stability is more important** in the medium to long term because **volatility** makes planning, forecasting and setting objectives very difficult.

Interest rates

- The interest rate is a **percentage reward offered for saving money, and the percentage charged for borrowing money**
- Lenders commonly charge interest on borrowing at a rate higher than the **Bank of England base rate**
 - They then offer a lower rate on savings and investments
- If interest rates rise, businesses will have to **pay more on new or variable-rate borrowing**, which will **increase their costs**
- Businesses may be less willing to make **capital investments** when their retained profit may be more profitably invested in savings schemes
- Customers are **less likely to purchase goods on credit** when interest rates are high, leading to a **fall in sales**
- Exporting businesses may see the **demand for their products overseas fall**, as higher interest rates usually strengthen the value of the domestic currency and make their products comparably more expensive abroad

Taxation and government spending

- Governments impose **direct and indirect taxes** on businesses and households
 - Direct** taxes are levied on income, e.g. income tax and corporation tax
 - Indirect** taxes are levied on spending, e.g. value-added tax (VAT)

The impact of an increase in taxation



Your notes

Impact	Explanation
Revenue	- Revenue may fall for many businesses - Increased income tax will reduce the disposable income of customers, and demand for products may fall - Increased VAT will make products more expensive, and customers may switch to alternative products
Costs	Operating costs will rise as a result of increased taxes, such as VAT and National Insurance contributions - Higher costs may be offset by charging higher prices - Higher prices may lead to lower sales, and profit may fall Import costs are increased when customs duties are raised
Business decisions	Business spending and investment may be affected by increases in corporation tax, as less profit will be retained to cover future expenses and make plans for business expansion Operational decisions may be affected by increases in business rates and taxes related to employing workers - Businesses may choose to forego business improvement or relocation or employ fewer workers as a result of increased costs - In some cases, businesses may take steps to try to avoid paying specific taxes or pay lower rates of taxation - Move the business to a low-tax location - Change production methods to reduce the use of highly taxed components

- Increased government spending is usually **funded by increases in taxes** or **increases in public sector borrowing**
 - Increased investment spending (e.g. on roads or regeneration) can encourage businesses to invest and lead to economic growth
 - Increased public sector spending can lead to targeted improvements (e.g in public health or education levels) that can improve **productivity**
- In recent years, the UK government has focused increasingly on the **reduction of government spending**
 - Infrastructure projects have been scaled back or cancelled

- E.g. the scale of the planned HS2 (High Speed 2) rail line intended to connect London with cities in the North has been significantly reduced
- Businesses in cities such as Leeds and Manchester are now unlikely to benefit from more efficient transport links, which affects access to markets and workers
- Spending on key services such as health and education has been reduced
- **Public sector wage rises** have been limited
- Businesses have **been affected by ongoing strike action** across the public sector, which has increased employee absence levels and made it difficult to function effectively

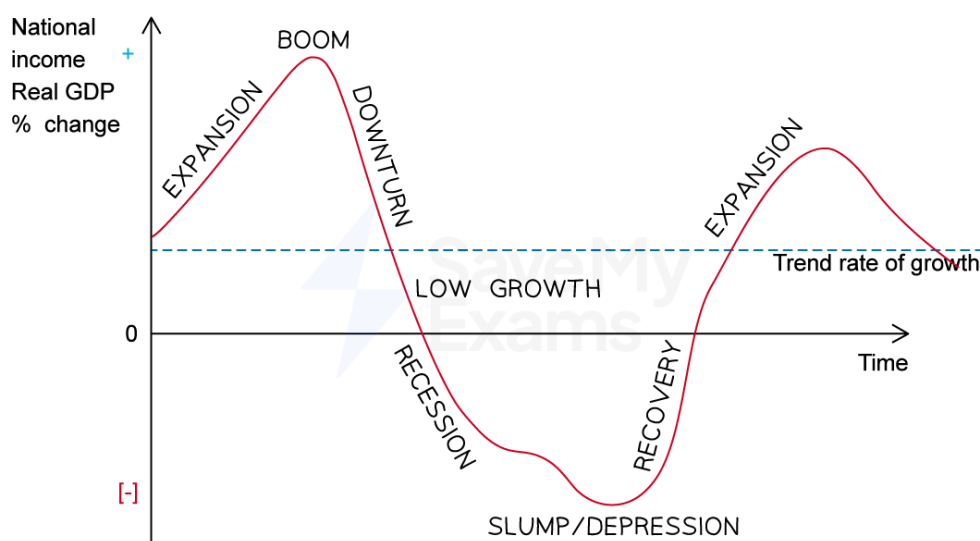


Your notes

The business cycle

- The business cycle describes the **upturns** and **downturns** in the level of a country's economic activity (**gross domestic product** or GDP) over time
- A **recession** occurs when an economy experiences two consecutive quarters (six months) or more of negative economic growth
- A **boom** is defined as a period of time in which an economy experiences increasing/high rates of economic growth

The business cycle over time



The business cycle includes periods of expansion, boom, recession and recovery

Stage of the business cycle	Characteristics	Impact on businesses
Recession	▪ Increasing/high unemployment	▪ Customers have less disposable income and are likely to reduce spending or postpone significant



Your notes

	▪ Low confidence for firms/households ▪ Low inflation or deflation ▪ Increase in government expenditure	spending decisions, leading to lower revenue ▪ Businesses may find it relatively easy to recruit workers from a larger pool of candidates ▪ Businesses may delay spending decisions and focus on reducing risk and survival ▪ Production levels are likely to be reduced ▪ Businesses often stockpile products ▪ Increased spending on welfare benefits and spending on infrastructure projects to inject demand into the economy may benefit some businesses
Boom	▪ Decreasing unemployment and increasing job vacancies ▪ High confidence and more risky decisions are taken ▪ Increasing rate of inflation ▪ An improvement in the government budget as tax revenues rise and government expenditure falls	▪ Customers' disposable income increases, leading to higher sales revenue ▪ Recruitment and staff retention may become more challenging, and businesses may need to pay higher wages ▪ Businesses look to expand and maximise profit ▪ Production levels are likely to increase ▪ Product or market development strategies are more likely ▪ Interest rates are likely to rise, and the higher cost of borrowing will increase the risk of capital investment ▪ Lower government spending may impact a business's growth plans ▪ Public sector pay controls may cause industrial unrest and affect business operations

The effects of economic uncertainty on the business environment



Your notes

- Economic uncertainty occurs when it is difficult to forecast the level of **supply** and **demand** in an economy
- Businesses will find **planning difficult** and are likely to be **reluctant to make significant decisions**, especially with regard to **capital expenditure**
- Economic uncertainty may occur as a result of:
 - A fluctuating **exchange rate**
 - **Economic growth** uncertainty
 - Turbulence in the price of key **commodities**, such as oil
- Businesses must **always be prepared** for economic uncertainty by:
 - Building up **cash reserves** when times are good
 - Keeping informed about the economic climate
 - Being ready to take advantage of opportunities when they arise



Examiner Tips and Tricks

MOPS is a useful acronym that could be used in 20–mark questions as a tool to **place the business context at the heart of evaluative answers**. It is frequently highlighted in the examiners' report as an example of good evaluative practice.

MOPS stands for:

- Market
- Objectives
- Product
- Situation

When you consider the impact of any external influence on a business's decision, try to explain why some of these factors are relevant, with specific reference to evidence from the case study. This will help you make a balanced decision.



The effects of legislation on businesses

- Legislation refers to **laws and regulations** passed by governments that require businesses and individuals to conduct their behaviour in a particular manner
- There are **five areas of legislation that have significant impacts** on businesses
 - Consumer protection
 - Employee protection
 - Environmental protection
 - Competition policy
 - Health and Safety

Consumer protection laws

- Consumer protection legislation aims to ensure that consumers are **treated fairly by the companies** with which they interact
- Legislation covers areas including:
 - The safety of products
 - The standard and quality of products
 - The rights of customers if they are unhappy with their purchase
 - The product information that must be given to customers
- Meeting the requirements of each of the above laws results in **increased business expenditure**, which may reduce profitability
- Consumer protection legislation aims to provide a **level playing field** for businesses, ensuring that no business can gain an unfair advantage over rivals by **taking shortcuts** or by **making false claims** about its products

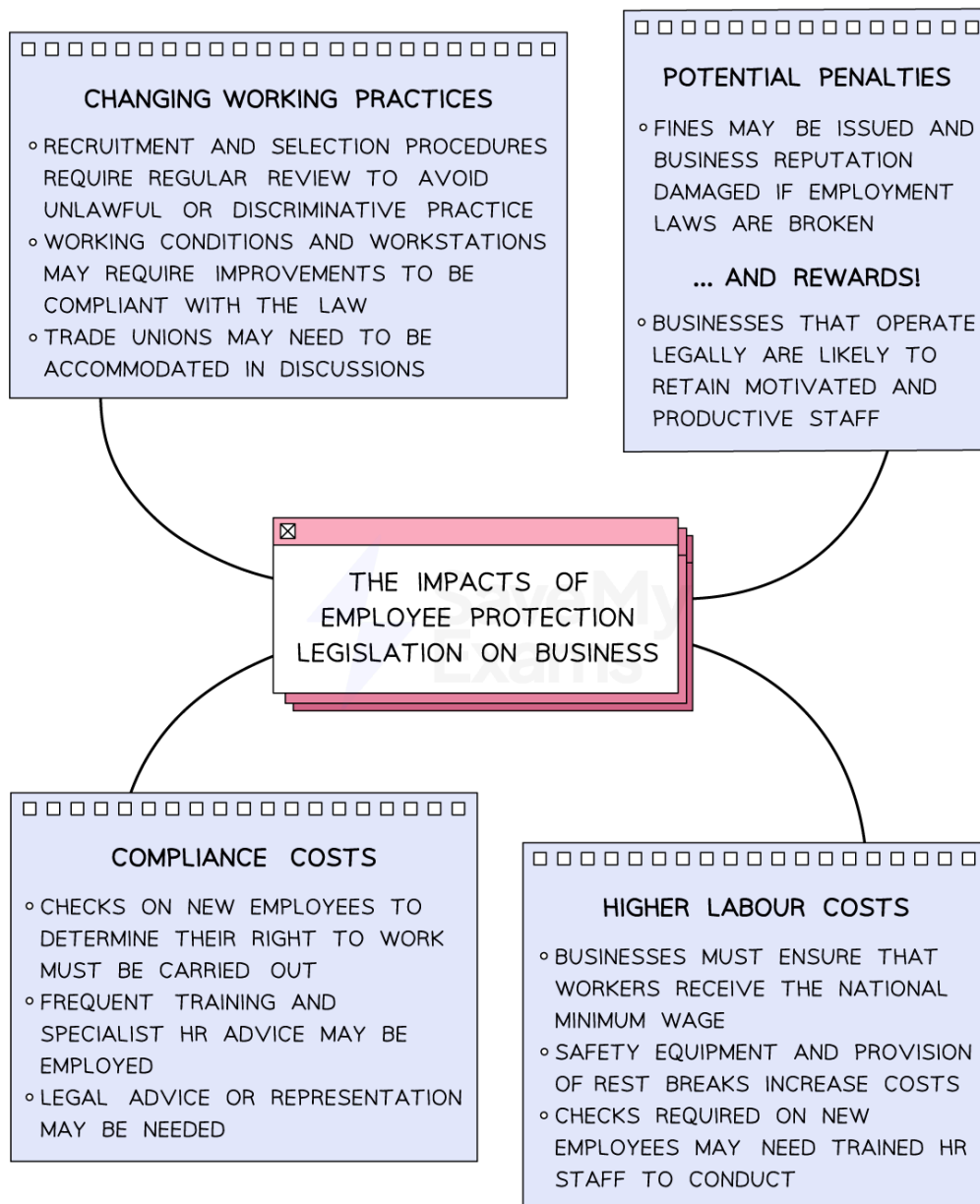
Employee protection laws

- Employee protection legislation aims to **prevent the exploitation of workers**
- Legislation covers areas including:
 - **Pay** and **working conditions**
 - **Equality** of employment rights for marginalised groups (e.g. those with disabilities) to avoid **discrimination**
 - The right to belong to a **trade union** and take **industrial action**
 - **Contracts** and termination of employment

The effects of employee protection legislation



Your notes



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The impacts of employee legislation on business include compliance costs and higher labour costs

Environmental protection laws

- Environmental legislation aims to hold businesses **responsible for their environmental impact**
- Legislation covers areas including:
 - Pollution
 - Destruction of wildlife



- Traffic congestion
- Air quality
- Resource depletion
- Businesses that fail to adhere to these laws may be **fined** or **forced to cease commercial activity** until they resolve the problems they have caused

Competition policy laws

- Competition legislation aims to protect the interests of both consumers and businesses by **restricting anti-competitive practices**
- Legislation covers areas including:
 - The abuse of market power so as to limit monopoly power
 - Anti-competitive **acquisition activity**
 - **Cartel** activity and collusion
- Where the **Competition and Markets Authority** judges that a business has acted or may potentially act in an anti-competitive manner, it may take steps such as preventing a **merger** or instructing a business to dispose of **subsidiaries** in order to correct the market

Health and safety legislation

- Health and safety legislation requires businesses to operate in a way that protects the **physical and mental well-being** of their employees and contractors, as well as their customers
- Legislation covers areas including:
 - The provision of **adequate breaks and rest periods**
 - Acceptable temperature and noise levels
 - The provision of safety equipment
 - Hygienic, safe and sanitary conditions
 - **Preventing stress**
- The implementation of procedures and provision of equipment required to maintain healthy and safe business premises and working conditions are likely to **incur financial and time costs**:
 - Staff **training** and supervision
 - Changes to **working hours** and rest provisions
 - Arrangement of manuals, signage and safety **documentation**
 - The purchase and maintenance of safety **equipment**
 - Drawing up and implementing a **code of practice**

- Serious health and safety breaches can lead to **fines** or an **investigation by the Health and Safety Executive** and, in some cases, can lead to **prosecution**



Examiner Tips and Tricks

Although you do not need to demonstrate in-depth knowledge of specific laws or regulations, it is useful to understand the range of impacts of complying (and, of course, not complying) with each type of legislation.

In general, it is worth remembering that businesses tend to take a "just in case" approach, ensuring that they comply with the law rather than being caught out when and if they breach it. Although this incurs costs and involves preparation, it is arguably far less damaging than being fined, prosecuted or forced to cease activity after the unlawful event, especially given the reputational damage that is likely to occur.



Your notes



Competition and market size

The degree and nature of competition

- The competitive environment concerns the **degree to which a business is affected by rivals** that operate in the same market (more fully discussed in [1.1.1 The Market](#))
- The **threat** competition presents to businesses operating in a market will determine how quickly a business responds
 - The greater the threat, the quicker the response required — and vice versa
- Operating in a **competitive market** can have significant impacts on the **marketing and operational strategy** (see "Marketing Strategy in Different Types of Markets" in [1.3.5 Marketing Strategy](#))

Example: How a small grocer may adapt to supermarket competition

Response	Explanation
Focus on their unique selling points	▪ Independent grocers often have unique selling points that larger supermarkets may not be able to match, which can help them differentiate themselves ▪ They can focus on local produce, speciality items or a personalised shopping experience
Adjust their pricing strategy	▪ Independent grocers may not be able to compete on price with larger supermarket chains due to their economies of scale ▪ They may choose to adjust their pricing strategy to focus on higher-end products
Enhance customer service	▪ Independent grocers can differentiate themselves from larger supermarket chains by providing excellent customer service ▪ This can include offering personalised recommendations, remembering customers' preferences and personally welcoming customers each time they visit



Your notes

Expand product range	- Independent grocers may choose to expand their product range to include items that customers may be unable to find in larger supermarkets - This could include speciality items or local produce
Collaborate with other local businesses	Independent grocers can work with other local businesses to create a sense of community and promote local shopping

Market size

- **Market size** is essentially the number of customers and sellers in a particular market
- Businesses **entering niche markets** may struggle to support the sale of a **high volume of goods** due to limited demand, as the market size is small
 - For these businesses, the specialised knowledge or skills required may well **limit the competition**, and the higher **costs of production** may well put off new businesses from launching
- Businesses **entering large markets** may face more competition from established businesses, higher costs of promotion and challenges in deciding their pricing strategy



Examiner Tips and Tricks

Whatever the market conditions a business faces, its best chance of success lies in determining and working to its strengths. A business with a clear competitive advantage, such as outstanding customer service, a great product or technical expertise, will be in an excellent position to stand out against even the most intense competition.

Look for these specific strengths in case study evidence and emphasise their importance when recommending solutions or strategies — and be sure to consider how the strengths may be protected or extended to ensure future success. Each suggestion you make should clearly support and nurture these core strengths.